industries and services, investment in equity of public enterprises and development of backward and rural areas as growth-oriented expenditures, disregarding their effectiveness and productivity.

There should be a way for the government to classify its budget expenditures in four broad categories: stimulating growth, provision of public goods and services, redistribution and maintenance expenditure. All expenditures meant to cover past liabilities like interest and pensions should be classified as maintenance expenditure. The government Budgets, however, do not classify expenditures in such a manner. As a result, one has to sift through the maze of Budget papers and accounts to identify growth-oriented expenditures.

Expenditure on Infrastructure Made Up Bulk of Growth Expenditures but was Quite Static and Small

The Central government's total estimated expenditure on infrastructure for 2020–21 adds up to Rs 3,63,000 crore (roads Rs 1,46,975 crore; railways Rs 1,60,792 crore; metros and NCR suburban railways Rs 19,571 crore; Rs 22,050 crore lumpsum for the infrastructure pipeline; and the rest on other smaller infrastructure heads). A striking feature is the preponderance of expenditure on physical transport infrastructure.

The budgeted expenditure on infrastructure for 2020–21 did not increase, even in nominal terms, over the budget expenditure of 2019–20. Railway capital expenditure was budgeted at Rs 1.60 lakh crore in 2019–20; in 2020–21, the amount was Rs 1.61 lakh crore, almost static. NHAI's internal and extra-budgetary capital expenditures (IEBR) were budgeted at Rs 75,000 crore in 2019–20. In 2020–21, they were scaled down to Rs 65,000 crore, effectively a reduction of Rs 10,000 crore. There was an increase from Rs 36,691 crore to Rs 42,500 crore in the budgeted expenditure for NHAI, which did not compensate for the lower IEBR. Together, NHAI's capital expenditure was budgeted to come down from Rs